

Money Mistake: You're in a Consumer Trance

THE FIX: SNAP OUT OF IT

Many people confuse my love of money with a love of “stuff.” These two things could not be more different. I love money because, employed properly, it's a source of creative energy; “stuff,” on the other hand, merely uses up energy by killing money. We buy stuff with money, and, more often than not, this stuff becomes a vessel for more spending. The car that requires gas and repairs; that too-big house that needs electricity and fuel to heat it; that walk-in closet you have to fill.

Here's how to break that trance. I want to look closely at the word *interest*. Every single time you purchase something on a credit card or a line of credit that you don't pay off immediately, you're paying interest. Ask yourself every time you choose to whip out that card and buy something: Will the interest I pay on this item outlive my interest *in* this item? If the answer is yes, don't buy it! Think of that attractive person you once dated years ago. Looking back now, it's easy to see you didn't actually need him or her. You don't need that person now, right? But imagine if, contractually, you were obligated to keep spending time with the very person you now feel absolutely nothing for, until he or she says it's over. Sounds insane, but many consumers are making exactly that bargain with things they purchase, things they said they loved and needed, yet days, weeks, and months later, they're bound to keep paying for something they no longer enjoy.

Here's another way to think about it: When you buy something you can't afford with money that's not yours, but a bank's, you're effectively stealing. The only reason we don't go to jail for this is that the institution from which you're stealing is insured against this theft. That's what interest is to a bank: a kind of insurance—that *you* pay for your thievery.

Here's the coldest, hardest truth about consumer spending: Every single thing about your beloved purchase diminishes after you throw it on a credit card—everything except the cost. They say the definition of insanity is doing the same thing over and over again and expecting a